

Procure Space ETF

SPCX NASDAQ

Hold	\$153.43 ▲ 1.04%	12M Price Target \$175.00	52-Week Range \$104.83 – \$225.64	Market Cap \$2.02T
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SPCX: Space ETF Drifts as SpaceX AI Story Dominates

WHAT HAPPENED

- SPCX ticked up 1% on a quiet news day — the whole story is really about SpaceX (the ETF's biggest indirect exposure). Grok AI hitting 400K users and merger chatter are pumping the SpaceX narrative, which spills into the ETF because private SpaceX valuation drives sentiment across the space sector.
- Volume dropped hard to 36M shares from 335M last Friday — that Friday spike was likely quarterly rebalance-related, and today's calm suggests no real conviction move, just drift.

WHY IT MATTERS

Here's the thing to understand: SPCX is an ETF, so it's a basket of space names (Rocket Lab, Iridium, Planet Labs, Intuitive Machines, etc.) — it doesn't own private SpaceX directly, but it moves on SpaceX sentiment because the whole sector re-rates together. The AI-power-for-satellites angle from Barron's is actually a bigger deal than it sounds: if satellite constellations become the backbone for edge AI compute, every name in this ETF gets a new revenue narrative beyond just launches. Options flow is mildly bullish (put/call at 1.05 but with unusual call buying at \$155), suggesting traders are positioning for a modest breakout — not a moonshot. Sitting at 40% of the 52-week range means the stock has already digested the earlier 2026 hype and is basing — that's usually where you want to be building, not chasing.

POLICY & POLITICAL WATCH

The big one to watch: the FY2027 defense authorization is moving through Congress and Space Force is asking for another double-digit percentage bump — if that passes intact, it's a direct tailwind for launch providers and satellite makers in this ETF. Also on the radar: the FCC's ongoing spectrum allocation fights (satellite operators vs. terrestrial wireless) — a favorable ruling for satellite spectrum rights would juice Iridium and the constellation names. And keep an eye on ITAR/export control tweaks — the administration has been signaling looser rules for allied nations, which would open new commercial markets for these companies.

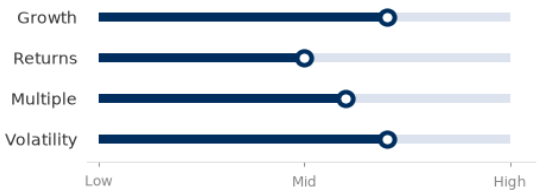
IS IT EXPENSIVE?

ETFs don't have earnings multiples — you value them by looking at the underlying basket. The space names inside SPCX are trading at premium sales multiples (many at 8-15x revenue) because investors are paying for the "commercial space is inevitable" story, not current profits. That's expensive if launches slow or a major mission fails, but reasonable if you believe Space Force spending plus commercial constellations create a decade-long growth runway.

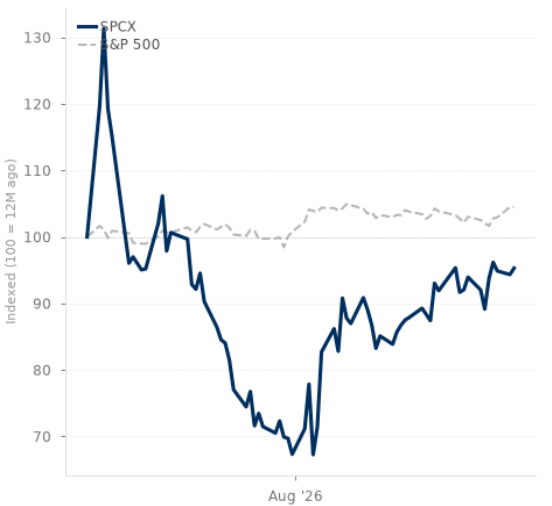
Key Data

Price (USD)	\$153.43
12M Price Target	\$175.00
Upside / (Downside)	+14.1%
Market Cap	\$2.02T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$165.00	\$155.00	\$145.00
6 Months	\$185.00	\$165.00	\$135.00
1 Year	\$210.00	\$175.00	\$125.00
2 Years	\$260.00	\$200.00	\$110.00
5 Years	\$380.00	\$275.00	\$130.00
10 Years	\$600.00	\$400.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.29%) and Staples (+1.15%) leading today — that's a defensive rotation, which is weird on an up day and worth watching. Tech still leads on 5-day (+6.58%) driven by AI infrastructure spending.

COOLING OFF: Nothing outright cooling, but Utilities and Discretionary are lagging — suggests the market isn't in full risk-on mode.

ROTATION WATCH: Money is quietly rotating into defensives even as tech holds up — that's a mixed signal. For space, the tailwind is really the tech/AI narrative bleeding into satellite infrastructure, not broad risk appetite.

RELATED PLAY: If you like the space thesis but want more diversification, ITA (defense/aerospace ETF) gives you exposure to prime contractors that build for both Pentagon and space — less pure-play upside but way less volatility.

WHO'S WINNING IN THIS SPACE?

- **RKLB (Rocket Lab):** Winning on Neutron rocket progress and steady launch cadence — the "next SpaceX" narrative is real.
- **IRDM (Iridium):** Steady cash-generating satellite operator — the boring compounder in the space basket.

SPCX CONTEXT: The ETF is roughly middling within its peer group — not leading like pure-play RKLB but not lagging either. That's typical ETF behavior: you sacrifice the home runs for smoother sailing. Suggests SPCX is more of a "own the theme" trade than a "beat the market" trade.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term space thesis but SPCX is fully-valued here, not a screaming buy.

POSITION SIZE: 2-4% of portfolio — this is a thematic tilt, not a core holding. The volatility is real (52-week range is \$104-\$225, that's insane).

ENTRY POINTS: I'd wait for pullbacks to \$140-145 (near the middle of the range) or add aggressively if it tests \$125 on macro fear.

TIME HORIZON: 12-36 months — the catalyst is Space Force budget clarity and one or two of the holdings turning profitable.

WHEN TO BAIL: If a top-3 holding blows up operationally, or if Congress signals major space spending cuts, exit fast.

HEDGING: Simplest hedge — keep some cash on the side ready to average down. If you want to get fancy, own a broader defense ETF alongside it so you're covered if pure space cools but defense stays hot.